

Simpler Deals, Smarter Tools

Greenroom's settlement tool works for flat guarantees but breaks on three deal types. The fix is not to build more sophisticated analytics on top of a complex system — it is to simplify the underlying deal structures, then let the tools do more with less.

*The right approach is to **simplify first, then automate**. Clean deal structures produce consistent, predictable data. Consistent data is what AI tools can actually work with — to suggest the right deal at booking, answer questions before show night, and reduce the manual entry that causes disputes. Trying to solve structural complexity with data cleaning gets harder every year. Simplifying the structure solves it once.*

IMPLEMENTATION ROADMAP

PHASE 1 Fix door deals Replace a broken structure. Every door deal loses the venue money today. Immediate • MVP	PHASE 2 Simplify \$1–5K deals Remove complexity that provides no benefit in this gross range. Short-term • MVP	PHASE 3 Insurance services Add the safety net that makes pre-agreed settlements safe to commit to. Post-MVP
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Phase 1 • MVP

Replace the door deal structure with a hybrid

29 shows • 24 months

PROBLEM

Under the current door arrangement, the venue covers all production costs and receives nothing from ticket revenue — the artist takes the entire available pool above expenses. This means the venue's financial result is independent of how well the show performs. A sold-out night and a half-empty night produce similar outcomes for the venue: a loss.

Every door deal settled over the past 24 months left the venue with a negative net. Nine of the 29 shows were structurally unviable at booking — the expected gross was too low for the deal structure to work for either party even on a good night.

FINDING

Pale Lake sold out to 650 people and the venue settled at a loss of \$1,930. Under a hybrid structure — \$500 artist floor, 60/40 revenue split above it, \$1,500 expense cap — the same night produces a fundamentally different result for both parties.

CURRENT — DOOR DEAL		PROPOSED — HYBRID STRUCTURE	
Artist payout	Full pool above expenses	Artist payout (Pale Lake)	\$9,474
Venue net	-\$1,930	Venue net (Pale Lake)	\$5,983
Venue stake in upside	None	Venue stake in upside	40% of available pool
24-month record	Negative on all 29 shows	Both parties profit on	20 of 29 historical shows

The 9 shows where both parties cannot profit are structurally unviable below a gross of \$2,223 — not a formula problem, a booking problem. Identifying

these at deal entry rather than at midnight during settlement is itself an improvement.

SUGGESTION

At deal entry, Greenroom proposes hybrid terms instead of a pure door arrangement: **\$500 artist floor + 60% / 40% split of the pool above it**, after a \$1,500 expense cap. Both parties see the projected outcome before committing. For expected gross above \$15,000, the projection is suppressed — there is only one historical data point at that level — and the parties negotiate terms directly.

The AI layer (Phase 2 and beyond) will be able to explain this structure in plain language to agents and answer "what would the artist earn if the show does \$X?" before the deal is signed — exactly the kind of question that currently gets resolved at midnight.

EXPECTED OUTCOME

The venue participates in the upside of a strong show for the first time. The artist retains a meaningful share of every viable night. The 9 structurally unviable shows are flagged at booking rather than discovered at settlement. Dispute risk on door deals (5.3% historically) is addressed by insurance in Phase 3.

PHASE 2 — \$1-5K DEAL SIMPLIFICATION

Phase 2 • MVP

Convert vs and percentage-of-net deals to flat guarantees

43 vs deals • 101 % of net deals

PROBLEM

A vs deal requires calculating gross revenue, applying the expense cap, computing a net base, running a percentage calculation, comparing it to the guarantee, and paying the higher number. Percentage-of-net deals involve the same arithmetic. Both structures exist to protect the artist when a show

overperforms — when the percentage would produce more than the guarantee.

Under \$5K gross, this never happens. The expense structure at this revenue level consumes the available pool before the percentage produces anything above the guarantee. The mechanism is real but the upside case simply does not materialise in this bracket. The complexity is all cost and no benefit.

FINDING

Across **43 vs deals settled under \$5K gross over 24 months**, the percentage calculation never once produced a payout above the guarantee. Every single show paid exactly the guarantee. The vs mechanism triggered zero times. The deal added audit complexity, created a 4.7% dispute rate, and delivered identical economics to a flat deal on 100% of shows.

The flat suggestion equals the guarantee. This is not an estimate or a projection — it is verified fact across every historical show in this bracket. Converting a vs deal to flat does not change what the artist earns. It changes how long it takes to calculate it.

DEAL TYPE	SHOWS	PERCENTAGE FIRED	DISPUTE RATE	AVG SETTLEMENT TIME
vs / \$1–5K	43	0 of 43	4.7%	Complex
Equivalent flat	—	N/A	~0%	One line

SUGGESTION

Smart Switch generates a flat suggestion at deal entry — weeks before the show — using the guarantee amount as the flat value for vs deals, and the artist's expense history for percentage-of-net deals. The agent confirms or declines before show night. If accepted, settlement becomes: artist gets \$X, wire Monday.

This is where the AI layer adds the most visible value. Instead of presenting a switch proposal as a form to review, the AI can present it conversationally: "Based on how similar shows have settled here, a flat of \$1,500 would give the artist the same outcome as the vs terms in 43 out of 43 comparable shows.

Want to offer that now?" That is a Wednesday email, not a midnight calculation.

The same logic applies to data entry. A simplified flat deal has one number to record, one number to verify at settlement, and no ambiguous expense lines to reconcile. Every field removed from the settlement form is a field that cannot be entered incorrectly.

EXPECTED OUTCOME

Settlement for accepted conversions requires no calculation — the agreed flat is the payout. The 4.7% dispute rate on vs deals drops to near zero for converted deals because there is nothing to dispute. The data Greenroom collects on converted shows is clean, consistent, and immediately useful for improving future suggestions — without any data cleaning step.

PHASE 3 — INSURANCE SERVICES

Phase 3 • Post-MVP

Settlement insurance as a platform service

Optional • not required for Phases 1-2

WHAT IT DOES

Insurance is the safety net that makes committing to a pre-agreed settlement safe for both parties. Two independent products, priced per show at booking:

Product 1 — Instant Dispute Pay. When a settlement enters disputed status, Greenroom pays the resolution amount immediately — no back-and-forth. Recovered in the next billing cycle. The expected cost per show is \$10.46, based on a 2.724% dispute rate and an average contested amount of \$384 across 257 settled shows.

Product 2 — Suggestion Accuracy Pay. When the accepted flat suggestion differs from what the artist would have earned under the original deal by

more than \$50, Greenroom pays the gap up to \$400. Across 254 historical shows, 99.2% of all suggestion gaps fell at or below \$400 — the cap is set to cover essentially all real-world outcomes.

WHAT IT COSTS EACH PARTY

Either party enrolls alone (one-sided) or both enroll together at a shared discount (two-sided). The recommended default for \$1–5K converted deals is Product 1 at the Basic tier: **\$21/show one-sided** or **\$11/show each two-sided**. For door deal conversions, Product 2 requires the Pro tier (\$36/show) because the suggestion gap on door deals is materially larger.

Two-sided enrollment has a practical advantage beyond the price discount: when both parties have opted in, both have an incentive to accept the flat suggestion and resolve disagreements quickly. Greenroom's data estimates this reduces the expected claim rate by approximately 15%.

REVENUE FOR GREENROOM

Insurance creates a new revenue stream from existing activity. Greenroom has structural advantages over traditional insurers — no agents, no physical distribution, and a proprietary dataset that gives pricing precision unavailable to a general carrier. These compress the expense ratio toward zero, making a 50% gross margin realistic and conservative by industry standards.

PRODUCT 1 • BASIC TIER • \$21/SHOW • 50% TARGET MARGIN

Expected cost per show \$10.46 (2.724% rate × \$384 avg)

Net margin per enrolled show **\$10.54**

The Crescent — full adoption net **\$113 / month**

Platform • 300 venues • 30% adoption **\$122K / year**

Platform • 300 venues • 50% adoption **\$203K / year**

These figures are from Product 1 alone and assume no Product 2 enrollment. The 30% adoption scenario is conservative — it assumes fewer than one in three venue-show relationships opt in. At 50% adoption the annual figure roughly doubles. The direction of the economics is not sensitive to the

adoption assumption; at any adoption rate above 15%, the product covers its expected claim costs from month one.

EXPECTED OUTCOME

Insurance is not required for the deal simplification to work — Phases 1 and 2 improve the settlement experience regardless. What insurance adds is confidence. An agent who might hesitate to commit to a flat deal weeks in advance is more likely to accept when they know that if the actual outcome differs meaningfully from the suggestion, the gap is covered. That confidence is what drives adoption of the simplified structure, and adoption of the simplified structure is what drives the data quality improvements that make the AI tools useful.

THE AI LAYER

Simplified deal structures are not just easier to settle — they are the prerequisite for AI tools that actually work. A system that needs to reconcile ambiguous expense categories, interpret handwritten cap agreements, and cross-reference multiple deal structures cannot be meaningfully automated. A system with clean, consistent flat deals and hybrid door terms can be.

DEAL STRUCTURE SUGGESTION

At booking, the AI suggests the right deal type and flat amount based on the artist's history, the venue's expense patterns, and comparable shows. The agent sees a recommendation, not a blank form.

PRE-SHOW Q&A

"What would the artist earn if the show does \$4,000?" is a question that should have an instant answer on Wednesday, not a midnight calculation. With flat deals, the answer is always the same number.

AUTOMATED SETTLEMENT

A flat deal that was agreed at booking requires no settlement calculation. Greenroom can pre-fill the settlement form, flag it for one-click confirmation, and wire automatically — without anyone doing arithmetic.

DISPUTE PREVENTION

Most disputes arise from ambiguous expense lines in complex deal structures. Flat deals eliminate the expense ambiguity entirely. The AI can flag the small number of remaining edge

cases before show night rather than after.

The measure of success is not better analysis of complex deals. It is fewer complex deals that need analysing. Every vs deal converted to a flat in Phase 2 is a settlement that requires no calculation, no review, and no dispute resolution. That is the compounding advantage of simplification — each clean deal makes the next one easier, and the data it generates makes the AI suggestions more reliable over time.